

Northshore Mechanical *Services*

Ten business days • audit only • fully de-identified

HERE NOW LABS

MAY 2026

The subject

A founder-led mechanical contractor in eastern Massachusetts and southern New Hampshire. Second generation. Profitable. Quietly mid-market.

REVENUE	\$24.8M trailing twelve months
REGION	Eastern MA · southern NH
LINES	Install · retrofit · service · controls
STAFF	108 (was 134 in 2022)
GENERATION	Founder-led, second generation

What AI did to produce this

Nine business days of ingestion. Every contract, vendor record, dispatch log, and policy parsed at speed. Forty anomalies surfaced. We weighed which ones mattered.

93

Active maintenance contracts
parsed

18 *mo*

Vendor invoices reviewed

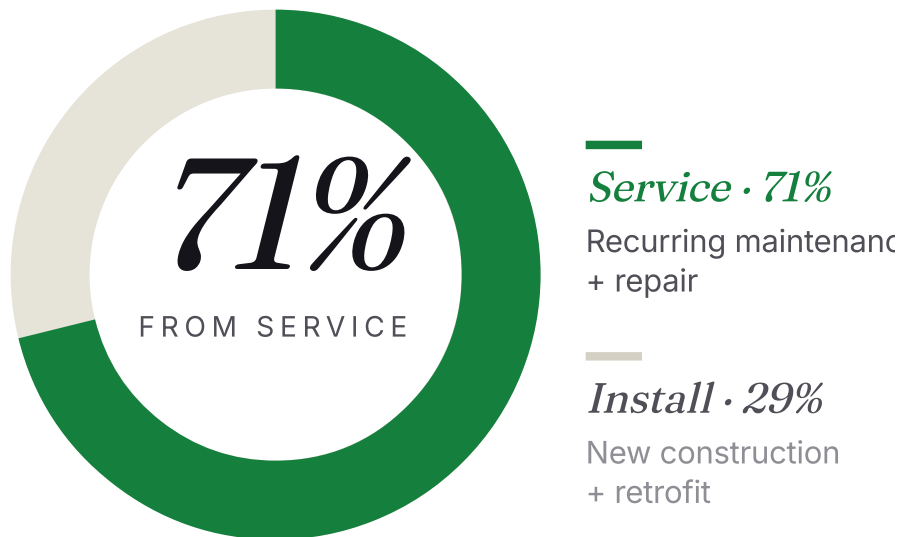
12 *mo*

Dispatch logs analyzed

~40

Anomalies surfaced for human
judgment

Service is what compounds.



The bet — written in plain English.

Northshore is sold internally as a full-service mechanical contractor with install at the front of the marketing, the comp plan, and the calendar. The financials describe a different company.

Roughly 71% of operating margin came from recurring service and maintenance. Install pays the lights and feeds the service book. Service is the thing that compounds.

The exposure the org chart doesn't show.

The senior estimator runs the install pipeline. Nobody equivalent runs the service book at the executive level. Sales comp pays for install bid wins, not for renewing or expanding the agreements that produce the margin.

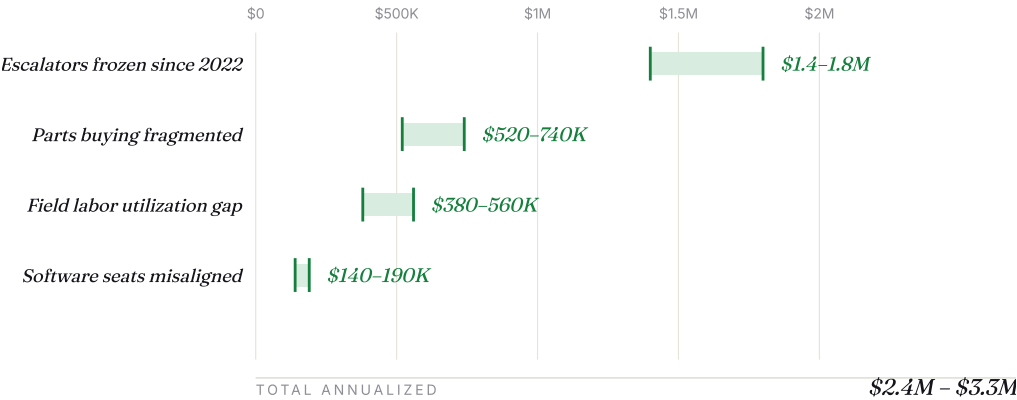
When one of the top fifteen accounts moves, the install pipeline takes the second hit two quarters later — because those accounts are who refer the next install. The exposure is asymmetric in a way the org chart does not advertise.

CONCENTRATION

Top fifteen accounts produce ~58% of service revenue, on a screen that has not been replaced since 2017.

§ii. Where the margin's been waiting

Four pools of margin.



\$2.4M – \$3.3M annual. About 10–13% of revenue.

Four pools, all addressable inside the current fiscal year with existing staff, two outside specialists, and roughly six to eight weeks of attention each.

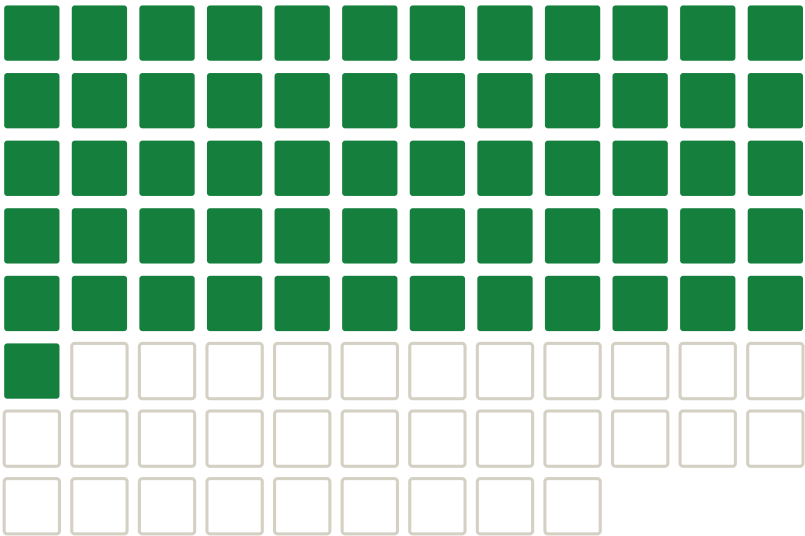
Escalators frozen since 2022.

ESTIMATED ANNUAL CAPTURE

\$1.4 – 1.8M

Sixty-one of the ninety-three active commercial maintenance agreements were last priced before the 2023–24 wage adjustments. The rate-card escalator clauses exist (*Schedule B* in the standard form, *Section 4.2* in the legacy form) and grant Northshore the right to adjust at each anniversary.

They were not exercised — the review fell to a senior coordinator carrying five other priorities.



- Missed at anniversary · 61
- Exercised on time · 32

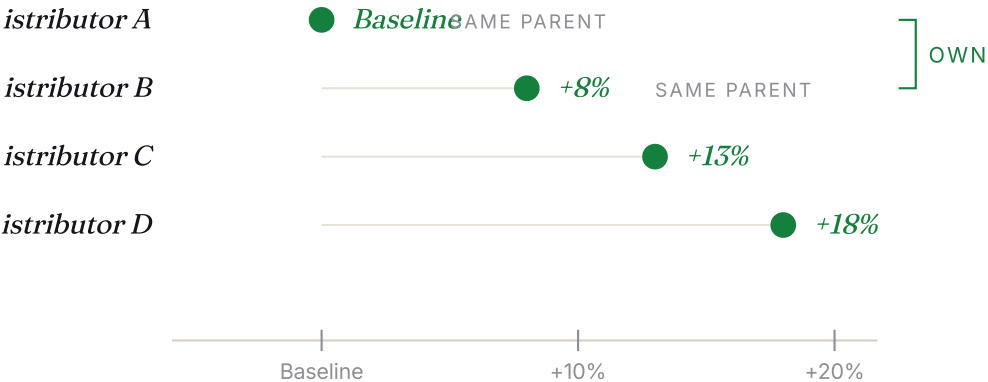
Parts buying fragmented.

ESTIMATED ANNUAL CAPTURE

\$520 – 740K

The same SKUs flow in through four supply houses at unit prices that vary 8–18% depending on which technician calls which counter. Two of the four are owned by the same parent and have unified rebate programs Northshore is not enrolled in.

Consolidating to two preferred suppliers with a single rebate agreement — six weeks of procurement work — captures the range named above.



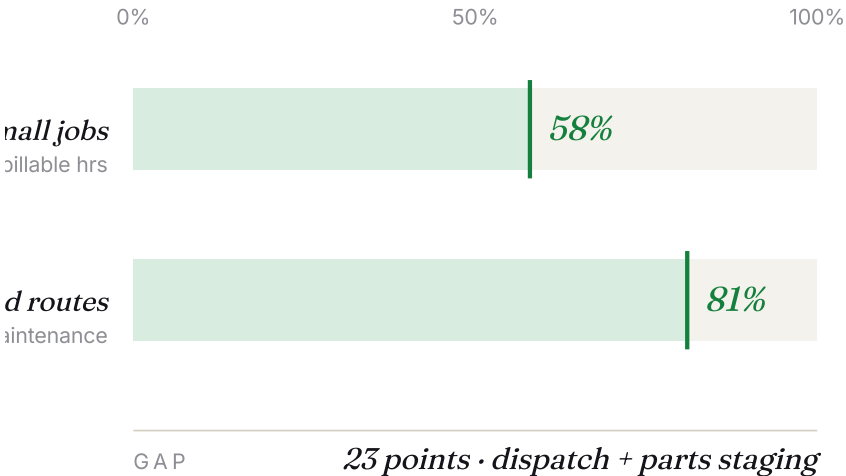
Field labor utilization gap.

ESTIMATED ANNUAL CAPTURE

\$380 – 560K

Service tickets under four billable hours run at 58% productive utilization. The same technicians on planned-maintenance routes run at 81%.

The gap is dispatch sequencing and parts staging, not technician effort. Two changes close most of it: pre-staged truck inventory tuned to the top forty service SKUs, and a same-day cluster rule that holds non-emergency small jobs until two are within ten miles.



§ii. Finding 4

Software seats misaligned.

ESTIMATED ANNUAL CAPTURE

\$140 – 190K

Three platforms are licensed at a tier set when Northshore employed 134 people. Current headcount is 108. There is also a fourth subscription — \$3,400/month, charged to operations — that no one in the executive team could identify the owner of when asked.

The smallest of the four findings, and the most viscerally embarrassing.

HEADCOUNT

2022



134

Today

108

26 SEATS OVERPAID

ORPHANED SUBSCRIPTION

\$3,400/mo · charged to operations · no executive owner

Nine days, not four months.

THE OLD WAY

4 months · consultants reading the corpus by hand

~80 worki

WITH AI

9 days · AI parses the corpus, partners weigh the bets

9 days

COMPRESSION

~9× faster · same depth

The change is not that AI generated the insight.

The change is that AI made it economical to parse the entire corpus in volume — every agreement, every clause, every renewal date, every line item — and surface the anomalies for a human to weigh.

The volume of reading was, until recently, the part of the work that priced consulting out of mid-market budgets.

Proposal generator.

AI SOFTWARE · 4-6 WEEKS · BUILD

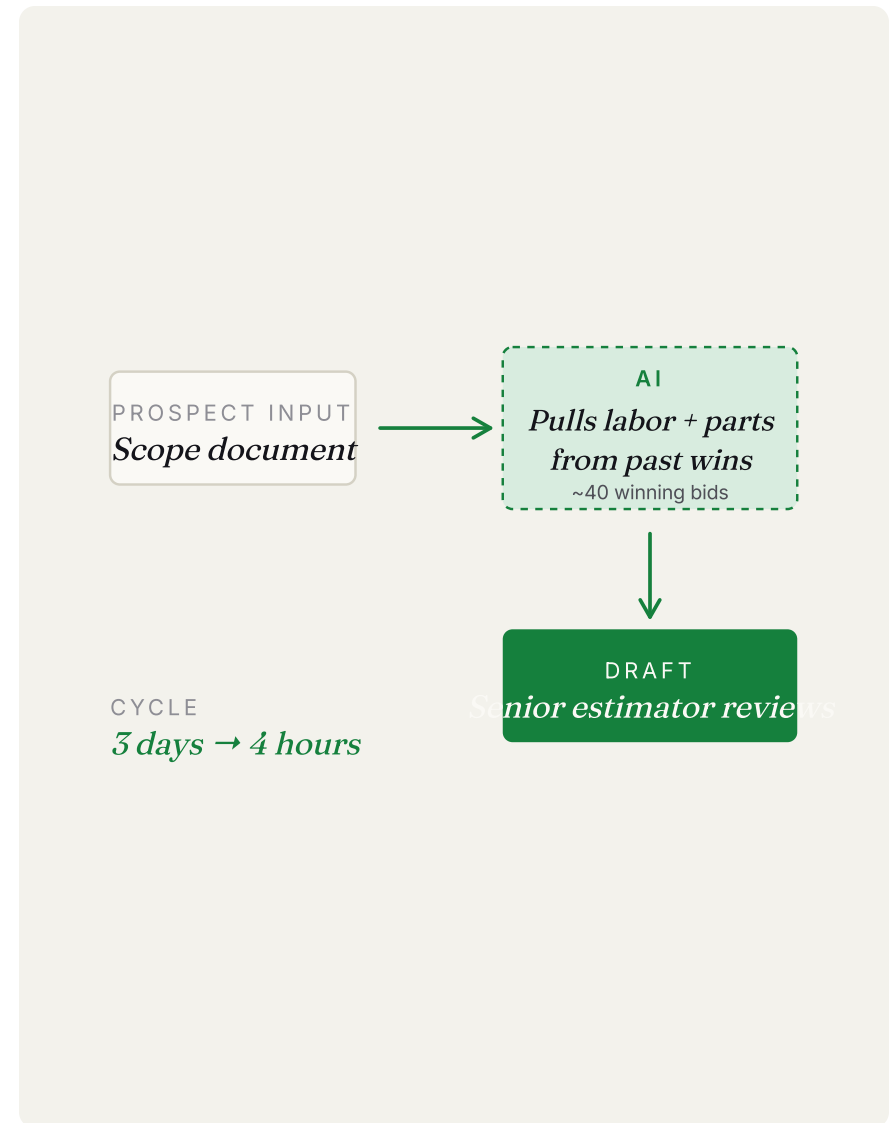
Custom tool for the senior estimator.

Drafts from a prospect's scope document; pre-populates labor and parts from the last forty winning bids. Run cost under \$400/month.

Estimator time recovered ~14 hrs / week

Quote cycle 3 days → 4 hours

Estimated revenue lift +8-12%



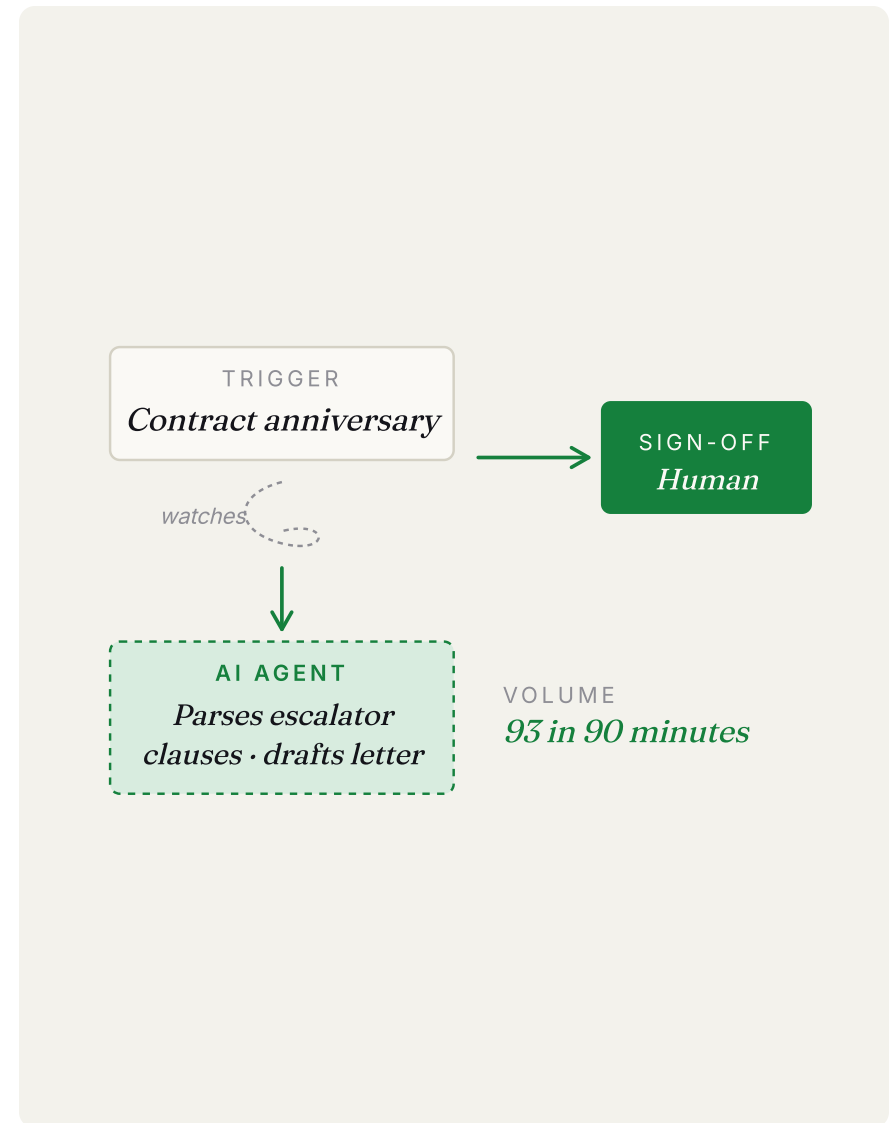
Anniversary review agent.

AI AGENT · 2-4 WEEKS · BUILD

An autonomous worker on a calendar trigger.

Watches the contract calendar. At each anniversary, parses the rate-card escalator clauses, checks the labor-rate baseline, and drafts the renewal letter. Human review is sign-off, not effort.

Contracts reviewed	93 in 90 minutes
Captured margin	\$1.4M – \$1.8M / yr
Human time	Sign-off only



Three moves, ranked.

Each tagged with the kind of work it implies, so the executive team can sequence resources.

RANK · BUILD		CAPTURE	EFFORT
01	Anniversary review agent AI AGENT · 2-4 WKS	\$1.4M – \$1.8M ANNUAL	 Low effort · existing escalator clauses
02	Consolidate parts to two distributors WORKFLOW · 6-8 WKS	\$520K – \$740K ANNUAL	 Medium · technician resistance is real
03	Proposal generator for the senior estimator AI SOFTWARE · 4-6 WKS	+8-12% REVENUE LIFT	 Medium · demonstrates AI inside the opera

Risks we'd name in advance.

Two or three of the fifteen largest accounts will push back hard at the first cycle of escalator letters. Plan for it; do not be surprised.

Technician resistance to consolidating distributors is real — the existing supply-house relationships are personal. Best handled by paying close attention to the on-counter experience and credit-line behavior for the two preferred houses, not by mandate.

The software-seat audit is small in dollars and disproportionate in political cost. Surface it; do not lead with it.

SEQUENCE RULE

Lead with the agent. It is the cleanest demonstration that AI can be useful in concrete and unglamorous ways.

Two questions for next quarter.

If service produces 71% of margin, why is the senior selling effort going into install bids?

Today there is no answer. The service book is healthy because it has always been healthy. The question is not rhetorical. It calls for a re-weighting of where the senior team spends its calendar.

What would it take, in the next six months, to make Northshore the obvious place to call for the controls and energy-efficiency upgrades the top fifty service accounts are about to need anyway?

Not more technicians. A customer portal, a 48-hour anniversary-quoting cycle, a named single point of contact for each top-fifty account.

What we read.

Across ten business days, we worked through everything Northshore produced. AI handled the volume; every line above was weighted by us.



93

Maintenance contracts



18 mo

Vendor invoices



12 mo

Dispatch logs



All

Software inventory



Full

Public site + policies



~40

Anomalies surfaced

 *Talk to us about your operation*

Find the AI in *your operation.*

Ten days to your Action Plan. Months to build what compounds for years.



Use the contact form